Moody's downgrades Iowa City Community School District, IA's GO to Aa3 and assigns Aa3 issuer rating

Rating Action | 4 min read

23 Mar 2021 Moody's Ratings

New York, March 23, 2021 -- Moody's Investors Service has assigned an Aa3 issuer rating to Iowa City Community School District, IA and concurrently downgraded the district's outstanding general obligation unlimited tax (GOULT) bonds to Aa3 from Aa1. The issuer rating reflects the district's ability to repay debt and debt-like obligations without consideration of any pledge, security, or structural features. This action concludes a review for possible downgrade initiated on January 26, 2021 in conjunction with the release of the US K-12 Public School Districts Methodology. The district has $181.4 million in Moody's rated debt.

RATINGS RATIONALE

The Aa3 issuer rating incorporates the district's diverse economy with institutional presence provided by the State University of Iowa (Aa1 stable) and the University of Iowa Hospitals & Clinics (Aa2 stable), a growing enrollment trend, and average resident incomes. The rating also considers the district's narrow financial position, expected to remain limited but stable going forward due to an anticipated surplus in fiscal 2021 and expenditure cuts. The district benefits from a high degree of revenue raising flexibility from its cash reserve levy. The district also saw pandemic related expenditure savings in fiscal 2021 and CARES act funding, which helped manage costs related to staffing and facilities. Also considered in the rating are the district's above average leverage but moderate fixed costs. The district's leverage increased in recent years following authorization of voter backed GO debt to finance a new high school and significant facility improvements.

The Aa3 GOULT rating is equivalent to the Aa3 issuer rating given the district's full faith and credit pledge with authority to raise ad valorem property taxes unlimited as to rate or amount.

RATING OUTLOOK

Moody's does not usually assign outlooks to local governments with this amount of debt.

FACTORS THAT COULD LEAD TO AN UPGRADE OF THE RATINGS

- Significant increase in fund balance or cash

- Substantial decline in long-term liabilities

FACTORS THAT COULD LEAD TO A DOWNGRADE OF THE RATINGS

- Significant decline in fund balance or cash

- Substantial increase in long-term liabilities

LEGAL SECURITY

The outstanding district bonds are secured by the district's general obligation unlimited property tax pledge on all taxable property within the district without limitation as to rate or amount.

PROFILE

Iowa City CSD is a large school district located in Johnson County, approximately 115 miles east of Des Moines, IA (Aa2 stable), and has a population of over 119,600. The district provides comprehensive educational services for students in kindergarten through twelfth grade to the communities of Iowa City (Aaa stable), Coralville, Hills, North Liberty (Aa2), University Heights and surrounding rural areas. Enrollment for the 2020-2021 school year is estimated at 14,571.

METHODOLOGY

The principal methodology used in these ratings was US K-12 Public School Districts Methodology published in January 2021 and available at https://www.moodys.com/researchdocumentcontentpage.aspx?docid=PBM_1202421. Alternatively, please see the Rating Methodologies page on www.moodys.com for a copy of this methodology.

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Related Entities

Iowa City Community School District, IA

1 Issuer

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